25SMCV01279 25SMCV01279

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TENTATIVE RULING

August 10, 2026

25SMCV01279 (LaBranche, et. al. v. Lu, et. al.)

RELEVANT BACKGROUND

On February 7, 2025, plaintiffs Jonathan Labranche and Sandra LaBranche (Plaintiffs) entered into a written Residential Purchase Agreement (RPA) with Defendants Mary Lu and Abhishek Kohli (Defendants) for the purchase of the subject property located at 11116 Montana Avenue, Los Angeles, California 90049 (the Property). (Labranche Decl. ¶ 2.)

On February 19, 2025, Plaintiffs deposited $64,500 into escrow with Bayside Escrow, Inc. (Escrow) as a deposit. (Id. ¶3.) A dispute thereafter arose between the Parties regarding the status of the transaction. (Labranche Decl. ¶4.) On February 23, 2025, Defendants purported to cancel the sale. (Id ¶5.)

On June 13, 2025, Defendants transmitted a demand to close escrow, which Plaintiffs understood as an indication that Defendants were willing to proceed with the transaction. (Id. ¶ 7.) On June 17, 2025, Plaintiffs caused the entire purchase price of $2,162,235.61 to be deposited and/or wired into Escrow. (Id. ¶ 8.) But the transaction did not close at the request of Defendants, and Escrow currently holds $2,160,135.80 in a non-interest-bearing account. (Id. ¶¶ 8-9.)

On March 12, 2025, Plaintiffs filed their complaint against Defendants for specific performance. (Id. ¶11.)

On June 6, 2025, Defendants filed their cross-complaint against Plaintiffs. On September 3, 2025, Defendants filed their first amended cross complaint (FACC) alleging four causes of action for breach of contract; declaratory relief; fraud in the inducement; and recission.

Relevant to the instant motion, Plaintiffs issued a written demand for return of funds deposited on March 15, 2026. (Hawatmeh Decl. ¶2.) to date, Defendants have not executed documents to release the funds held in escrow. (Id. ¶ 3.)

INSTANT MOTION

On March 14, 2026, Plaintiffs filed the instant motion to release funds held in escrow. Defendants filed an opposition, and Plaintiffs filed a reply.

DISCUSSION

Here, Plaintiffs deposited $2,162,235.61, the full purchase price of the Property, into Escrow on June 17, 2025. Plaintiffs request this Court order the funds immediately released to Plaintiffs. Plaintiffs state that those funds have been sitting in a non-interest-bearing account since that date, with trial not set until November 2026. Plaintiffs assert they are ready, willing, and able to perform this transaction if the Court so orders. Plaintiffs highlight that there is no legal requirement that they prove that readiness by allowing $2,160,135.80 to earn nothing in a noninterest-bearing escrow account for over a year.

Plaintiff’s motion to release the funds in escrow is made on the following grounds: (1) California law does not require a buyer pursuing specific performance to keep purchase funds deposited in escrow—the sole legal requirement is that the buyer be ready, willing, and able to perform at the time of judgment; (2) a buyer’s financial ability to perform may be demonstrated through liquid assets, property, or loan commitments, and is not conditioned upon the continued deposit of funds in any escrow account; (3) where a seller has repudiated a purchase contract, the buyer is excused from any formal tender obligation, eliminating any argument that escrow retention is necessary to establish tender; and (4) continued retention of Plaintiffs' $2,160,135.80 in a non-interest-bearing account through a trial date of November 2026 causes ongoing and unnecessary financial prejudice to Plaintiffs while serving no legally cognizable purpose.

Plaintiffs cite Civil Code section 1057.3 (although they do not assert a cause of action under that provision):

It shall be the obligation of a buyer and seller who enter into a contract to purchase and sell real property to ensure that all funds deposited into an escrow account are returned to the person who deposited the funds or who is otherwise entitled to the funds under the contract, if the purchase of the property is not completed by the date set forth in the contract for the close of escrow or any duly executed extension thereof.

Neither any document required by the escrow holder to release funds deposited in an escrow account nor the acceptance of funds released from escrow, by any principal to the escrow transaction, shall be deemed a cancellation or termination of the underlying contract to purchase and sell real property, unless the cancellation is specifically stated therein.

(Civ. Code, § 1057.3, subd. (a), (e).)

Next, Plaintiff argues that Courts have inherent equitable powers to issue pretrial relief to preserve the status quo and prevent irreparable harm pending a determination on the merits of a case. Plaintiff cites Dodge, Warren & Peters Ins. Services, Inc. v. Riley (2003) 105 Cal. App. 4th 1414, 1418 [preliminary injunction analysis in general] and People v. Uber Technologies, Inc. (2020) 56 Cal. App. 5th 266, 273 [preliminary injunction analysis involving claims for equitable relief evaluated on a sliding scale, sometimes awarding relief based on a lower likelihood of harm when the likelihood of success is very high].

Plaintiffs also cite AmCal Inv. Co. v. Sharlyn Estates, Inc. (1967) 255 Cal.App.2d 526, 539 in support of the proposition that satisfying the “ready, willing and able to perform” requirement for specific performance can be proved by liquid assets, by property that can be sold or pledged, or by a loan commitment.

Plaintiffs provide the declaration of plaintiff Johnathan Labranche, who declares: “We remain ready, able, and willing to proceed with the transaction. However, we are harmed by being unable to access our funds being held in escrow to our benefit while waiting for the resolution of our claims.” (Johnathan Decl., ¶ 13.)

In opposition, Defendants argue that Plaintiffs’ Complaint does not assert a cause of action under section 1057.3 against Defendants, and that nothing in Civil Code section 1057.3 authorizes the relief sought here.

Defendants point out that, under the RPA, release of funds requires “mutual Signed release instructions from the Parties, judicial decision or arbitration award.” (See Cross-Complaint, Ex. A [RPA], page 11, section 14(h).)

Additionally, Defendants argue that Plaintiffs’ requested order is merits-determinative because it presupposes Plaintiffs’ entitlement to enforce the transaction despite disputed performance. Defendants are correct that, for a buyer of real estate to obtain specific performance, a party must establish its own performance or excuse for nonperformance. (See Ninety Nine Investments v. Overseas Courier Service (Singapore) Private (2003) 113 Cal.App.4th 1118, 1126, citing Erich v. Granoff (1980) 109 Cal.App.3d 920, 930 (1980); Stratton v. Tejani (1982) 139 Cal.App.3d 204, 211. “A plaintiff must also show that it was ready, willing and able to perform both at the time the original contract was entered into and during the specific performance action.” (Id.) Defendants state that, here, the parties dispute whether Plaintiffs timely funded escrow and whether Defendants’ instruction to escrow prevented recording. (See Compl.; FACC.)

Lastly, Defendants contend that the balance of equities favors preserving escrowed funds as neutral security because Plaintiffs’ proposed alternative, an order requiring Plaintiffs to maintain resources sufficient to perform and provide commercially reasonable proof of funds upon request, does not preserve the same security as funds held by a neutral escrow holder.

In reply, Plaintiffs highlight that the RPA calls for a "judicial determination" and deny that this necessarily means a final judgment after trial.

With respect to Civil Code section 1057.3, Plaintiffs assert that the code section does not bar this relief, and that the Court's equitable authority supplies it.

The Court finds that Plaintiffs have not provided any relevant authority for the relief requested. Plaintiffs cite Civil Code section 1057.3, but nothing in that code section authorizes the relief requested. (See Civ. Code, § 1057.3.) Although Plaintiffs state in reply that section 1057.3 does not bar this relief, Plaintiff fails to point to any authority that does, other than the Court's general equitable authority. Moreover, Plaintiffs' Complaint does not assert a cause of action under Civil Code section 1057.3 against Defendants.

Additionally, in support of their equitable authority argument, Plaintiffs cite two cases that involve preliminary injunctions Dodge, 105 Cal. App. 4th at p. 1418 and Uber Technologies, 56 Cal. App. 5th 266, 273. But these cases do not assist Plaintiffs, as Plaintiffs do not engage in the analysis for a preliminary injunction and have not presented any evidence regarding the likelihood of success on the merits. And, contrary to Plaintiffs' assertion, an order for release of funds would change, not preserve, the status quo.

Lastly, under the RPA, release of funds requires "mutual Signed release instructions from the Parties, judicial decision or arbitration award." (See Cross-Complaint, Ex. A [RPA], page 11, section 14(h).) Plaintiffs have not shown that a ruling on the instant motion would constitute the sort of judicial decision contemplated by the RPA, which the Court believes would require a determination on the merits or, at a minimum, satisfaction of the standards for a mandatory preliminary injunction

Accordingly, Plaintiffs' motion to release the funds in escrow is DENIED.